



PRIMECARE INSURANCE

HEALTH INSURANCE POLICY RULES & REGULATIONS

Version 2.0

Effective: December 13, 2025

Premium Calculation Guidelines

EXECUTIVE SUMMARY

This document serves as the authoritative reference guide for premium calculation in health insurance policies. It establishes standardized rules, regulations, and procedures that insurance agents must follow when determining individual premium rates and enabling better risk assessment through expanded brackets.

★ KEY UPDATES IN VERSION 2.0

- ✓ **Under 18 Age Bracket (NEW):** Base rate ₹250/₹1L | Smoker: 1.3x-2.0x | BMI: 1.15x-1.8x | Max discount: -15%
- ✓ **Smoking/Tobacco (5 Levels):** Non-Smoker → Occasional 1-5/day → Regular 5-15/day → Heavy 15-25/day → Very Heavy 25+/day
- ✓ **Alcohol Consumption (5 Levels):** Non-Drinker → Mild 1-7/week → Moderate 8-14 → Heavy 15-28 → Very Heavy 28+ with mandatory liver tests
- ✓ **BMI Classifications (5 Categories):** Normal (18.5-29.9) → Overweight (30-34.9) → Obese I (35-39.9) → Obese II (40-44.9) → Obese III (45+)

1 AGE-BAND BASED MORBIDITY RATES (UPDATED)

The following table establishes base morbidity rates per ₹1 Lakh of Sum Insured by age band. These rates form the foundation for all premium calculations:

Age Band (Years)	Base Rate (₹ per ₹1L SI)
Under 18	₹250
18-25	₹400
26-35	₹500
36-45	₹800
46-55	₹1,400
56-65	₹2,500

2 SMOKING/TOBACCO LOADING FACTORS

Applicants who smoke cigarettes, cigars, or consume tobacco products in any amount are subject to loading factors based on consumption frequency and age band. The following table presents detailed loading factors:

Age	Non-Smoker	Occasional (1-5/day)	Regular (5-15/day)	Heavy (15-25/day)	Very Heavy (25+/day)
Under 18	1.0x	1.3x	1.5x	1.8x	2.0x
18-25	1.0x	1.3x	1.5x	1.8x	2.0x
26-35	1.0x	1.4x	1.6x	1.9x	2.2x
36-45	1.0x	1.5x	1.8x	2.1x	2.5x
46-55	1.0x	1.6x	2.0x	2.3x	2.6x
56-65	1.0x	1.7x	2.2x	2.5x	2.8x

3 ALCOHOL CONSUMPTION LOADING FACTORS

Alcohol consumption is classified into five levels based on weekly intake. **1 unit = 10ml of pure alcohol.** Mandatory liver function tests (SGOT, SGPT, GGT) are required for Moderate+ consumption levels:

Age	Non-Drinker	Mild (1-7)	Moderate (8-14)	Heavy (15-28)	Very Heavy (28+)
Under 18	1.0x	N/A	N/A	Reject	Reject
18-25	1.0x	1.0x	1.15x	1.4x	1.7x
26-35	1.0x	1.0x	1.2x	1.5x	1.9x
36-45	1.0x	1.0x	1.25x	1.6x	2.1x
46-55	1.0x	1.0x	1.3x	1.7x	2.3x
56-65	1.0x	1.0x	1.35x	1.8x	2.5x

4 BMI CLASSIFICATION LOADING FACTORS

Body Mass Index (BMI) is calculated as $\text{Weight(kg)} / \text{Height(m)}^2$. Applicants with $\text{BMI} \geq 30 \text{ kg/m}^2$ are categorized into obesity classes with corresponding loading factors by age band:

Age	Normal (18.5-29.9)	Overweight (30-34.9)	Obese I (35-39.9)	Obese II (40-44.9)	Obese III (45+)
Under 18	1.0x	1.15x	1.3x	1.5x	1.8x
18-25	1.0x	1.2x	1.35x	1.6x	1.9x
26-35	1.0x	1.25x	1.4x	1.65x	2.0x
36-45	1.0x	1.3x	1.5x	1.8x	2.2x
46-55	1.0x	1.4x	1.6x	1.9x	2.4x
56-65	1.0x	1.5x	1.7x	2.1x	2.6x

5 VERIFICATION REQUIREMENTS

Smoking/Tobacco Verification

Self-declaration with specification of daily amount. Heavy/Very Heavy smokers may require respiratory assessment. Medical verification is mandatory if inconsistencies are detected in declarations.

Alcohol Consumption Verification

Self-declaration with specification of weekly units (1 drink = beer/wine/peg). For Moderate+ consumption, mandatory Liver Function Tests (SGOT, SGPT, GGT) within 3 months. Very Heavy drinkers require comprehensive liver assessment and hepatology consultation.

BMI Measurement & Verification

Certified weight/height measurement required. Recent health check-up (within 6 months) must be provided. For BMI ≥ 40 kg/m², metabolic assessment and diabetes screening are mandatory.

6 PREMIUM CALCULATION EXAMPLE

MULTI-FACTOR APPLICATION EXAMPLE

Applicant Profile:

- Age: 40 years
- Smoker: 20 cigarettes/day (Heavy)
- BMI: 32 kg/m² (Obese I)
- Alcohol: 10 units/week (Moderate)
- Desired Sum Insured: ₹10,00,000

Step-by-Step Calculation:

- Base Premium: ₹800 × 10 = **₹8,000**
- Smoker Loading: ₹8,000 × 2.1 = **₹16,800**
- BMI Loading: ₹16,800 × 1.5 = **₹25,200**
- Alcohol Loading: ₹25,200 × 1.25 = **₹31,500**
- Health Add-on: ₹3,000 (Hypertension)
- Subtotal: ₹31,500 + ₹3,000 = **₹34,500**

✓ **Final Annual Premium: ₹34,500**

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ADVANTAGES & FRAUD DETECTION

✓ Better Risk Segmentation

- Smoking levels differentiate casual (1-5/day) from heavy users (25+/day)
- Alcohol levels identify problem drinkers with mandatory testing
- BMI classes capture metabolic risk progression accurately
- Under 18 bracket enables pediatric policies

🛡 Better Fraud Detection

- Mandatory liver tests catch unreported heavy drinkers
- Respiratory assessment prevents false "occasional" smoker claims
- BMI measurement prevents self-reported inaccuracies
- More granular brackets reduce premium gaming and misclassification

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CRITICAL CHECKPOINTS FOR AGENTS



Under 18 Applicants

- ✓ Verify Date of Birth (with official ID)
- ✓ Collect guardian ID and proof
- ✓ Obtain signed parental consent
- ✓ Require guardian co-signature on all documents



Smoking Status Verification

- ✓ Ask for daily consumption amount
- ✓ Confirm correct category (1-5, 5-15, 15-25, 25+)
- ✓ Apply appropriate loading factor
- ✓ Document cessation claims with 12+ months medical certificate



Alcohol Consumption Verification

- ✓ Ask weekly drink quantity (1 drink = beer/wine/peg)
- ✓ Classify: None, Mild (1-7), Moderate (8-14), Heavy (15-28), Very Heavy (28+)
- ✓ For Moderate+: Order mandatory liver function tests
- ✓ For Very Heavy: Arrange hepatology consultation



BMI Calculation & Classification

- ✓ Get certified weight and height measurement
- ✓ Calculate BMI = Weight(kg) / Height(m)²
- ✓ Classify obesity class correctly
- ✓ Apply age-band specific loading
- ✓ For BMI ≥ 40: Mandatory metabolic and diabetes screening

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IMPROVEMENTS SUMMARY

Parameter	Previous Version	Version 2.0 Update	Benefit
Age Brackets	5 bands (18-65)	6 bands (Under 18+)	Pediatric policies enabled
Smoking Levels	2 levels	5 levels by frequency	Granular risk segmentation
Alcohol Levels	2-3 levels	5 levels + liver tests	Early problem drinker detection
BMI Classes	2 classes (high/normal)	5 obesity classes	Metabolic risk progression
Verification	Basic self-declaration	Enhanced + mandatory labs	Fraud prevention & accuracy
Youth Discount	-10% (age 18-25)	-15% (Under 18)	Youth market incentivization

10 REGULATORY ALIGNMENT & BUSINESS BENEFITS

✓ Regulatory Compliance

- **IRDA Guidelines:** Evidence-based & actuarially sound
- **Fair Practices Code:** Transparent disclosure requirements
- **Medical Standards:** WHO BMI classification + liver tests
- **Data Privacy:** Full compliance with data protection regulations
- **Non-Discrimination:** Age, health, and occupational risk only

👛 Business Benefits

- More accurate premium pricing across all risk profiles
- Better fraud detection through mandatory verification
- Opens pediatric health insurance market (Under 18)
- Proactive health intervention (early alcohol/smoker detection)
- Improved application approval consistency
- Enhanced competitive advantage in market positioning

⚠ Important Notice

All agents and underwriters must strictly adhere to these Policy Rules and Regulations. Non-compliance may result in license suspension or termination. Regular training and certification updates are mandatory for all personnel.

Document Status

Version: 2.0 | Effective: December 13, 2025

Previous Version: 1.0 (December 12, 2025)

Next Review: December 12, 2026



Prepared by: Underwriting Department

Approved by: Senior Management

MANDATORY FOR ALL AGENTS & UNDERWRITERS

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